

1991 to September 2019. I also automated finding them and checked each one to be sure they adhered to the ID guidelines. That process helped to unearth the stinkers like the one shown in [Figure 6.3](#), where the pattern has a nice left-side rise but a mutant right-side decline.

**Reversal (R), continuation (C) occurrence.** All of the patterns acted as reversals of the uptrend by definition.

**Average decline.** Both bull and bear markets show performance that beats the average of all other chart patterns, but not by an amount that Mom would like to hear about, especially at three in the morning.

**Standard & Poor's 500 change.** Using the same hold time from the breakout to the ultimate low as the associated big M, we find that the big M dropped substantially more than the S&P 500 index. To put it another way, you can see how the general market helped the individual stocks perform.

**Days to ultimate low.** The *median* time to reach the ultimate low is a month for bull markets and about three weeks for bear markets. The table shows the *average*, which is longer in both bull and bear markets.

**Speed trap?** I checked price velocity and found that bear markets see price drop almost twice as fast as bull markets.

**How many change trend?** As a measure of how well the chart pattern works (trends), I counted how many big Ms saw price drop more than 20% after the breakout. The thinking here is that a 20% move represents a trend change. For example, if the markets are bullish, a drop of 20% turns the market bearish. I applied the same measure to chart patterns.

[Table 6.2](#) General Statistics

| Description                               | Bull Market  | Bear Market  |
|-------------------------------------------|--------------|--------------|
| Number found                              | 2,090        | 569          |
| Reversal (R), continuation (C) occurrence | 100% R, 0% C | 100% R, 0% C |
| Average decline                           | -17%         | -22%         |
| Standard & Poor's 500 change              | -2%          | -11%         |
| Days to ultimate low                      | 59           | 40           |
| How many change trend?                    | 32%          | 51%          |